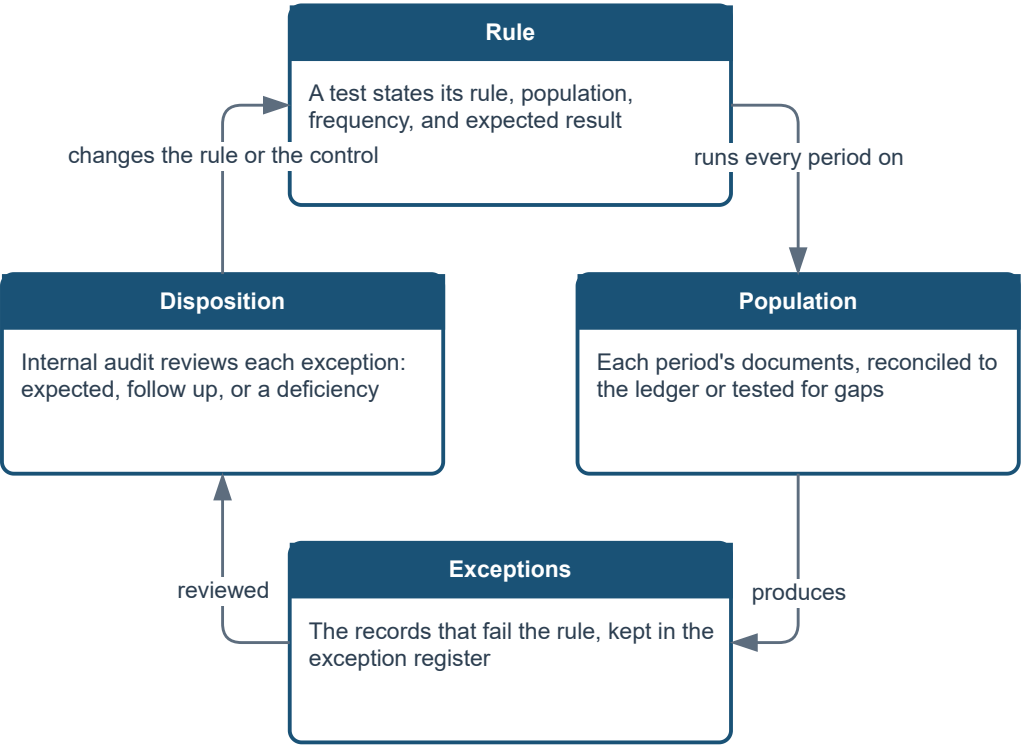


Who runs it

Continuous auditing
Internal audit, for assurance to the board and management

Continuous monitoring
Management, on its own controls; internal audit can rely on it when it is strong

Who sees the results

The people who oversee the controls, such as the audit committee and the chief audit executive. The people whose transactions are tested hear of the exceptions they must explain, not the whole report: telling them what was flagged also tells them what was not.

Rule tests produce exceptions, failures of a stated rule; analytical tests produce anomalies, departures from an expectation that call for a closer look.